NSE: STYLAMIND
Stylam Industries Ltd

Building Materials | High Pressure Laminates (HPL) | Export Leader

India's largest HPL exporter — new plant commissioning in mid-July 2026 unlocks a step-change in capacity; EBITDA margin re-rating underway as operating leverage kicks in.

CMP	**Rs. 3,180**	Market Cap	**Rs. 5,389 Cr.**	52W High	**Rs. 3,287**	52W Low	**Rs. 1,575**
P/E (TTM)	**36.0x**	EV/EBITDA	**~24x**	BV/Share	**Rs. 476**	ROCE	**27.0%**
ROE	**20.5%**	D/E	**0.06x**	Promoter%	**54.10%**	Pledge%	**Nil**

RATING: BUY	**12-Month Target: Rs. 4,200**	**Upside: +32%**	Date: 15 Jun 2026

Source: Screener.in, Company filings, HDFC Securities Research, MPM Analysis | Figures in Rs. Crores unless stated.

2. INVESTMENT THESIS

- **1. New plant = step-change earnings inflection.** Stylam's third greenfield HPL plant commences production by mid-July 2026, adding ~Rs. 300-400 Cr. revenue in the next three quarters alone. With existing capacity at 74% utilisation and no meaningful new industry supply, the incremental volume drops straight to the EBITDA line — management targets 80%+ utilisation within one year of commissioning.
- **2. Export moat compounds: Aica Kogyo partnership + Europe pricing power.** Stylam is India's largest HPL exporter to Europe (>50% of exports). The strategic tie-up with Japan's Aica Kogyo — a global HPL player — opens premium segments and de-risks customer concentration. Export volumes grew 13.6% in 9M FY26 despite a weak European construction backdrop; recovery there is an additional earnings kicker.
- **3. Balance-sheet discipline creates re-rating headroom.** Debt/Equity collapsed from 1.1x (FY21) to 0.06x (FY26) while ROCE held above 27%. The company is self-funding its Rs. 150 Cr. capex from internal accruals. Zero pledge, clean governance post promoter-group restructuring, and rising DII ownership (13.3%) validate institutional quality.

Catalyst: New plant commissioning announcement (mid-July 2026) + Q1 FY27 results showing first revenue contribution from Plant 3 — expected August 2026.

Key Risk: A prolonged European construction downturn or sharp depreciation in EUR/INR could compress export realisations faster than volume growth compensates.

3. BUSINESS OVERVIEW

- **Product:** High Pressure Laminates (HPL) — decorative surfacing material used in furniture, kitchens, flooring, and wall panelling. Premium product vs. MDF/plywood; commands better margins.
- **Capacity:** Two operational plants in Panchkula (Haryana) with combined capacity ~24 million sq. metres; Plant 3 greenfield (12 mn sqm equivalent) commission July 2026 — 50% capacity expansion.
- **Geography mix:** Exports ~55% of revenue; Europe >50% of export pie, Middle East ~25%, US <10%. Domestic business (45%) is price-resilient, targeting Tier 2/3 markets through a +20% expanded dealer network in FY25.
- **Segments:** HPL (dominant ~95%+ of revenue) + nascent Acrylic Solid Surface (Rs. 1.5 Cr. FY26, targeting Rs. 5-7 Cr. FY27) — value-added wood-based products diversification underway.
- **Competitive position:** India's second-largest laminate exporter overall; undisputed #1 in Europe. Global peers are Formica (privately held), Wilsonart (US), and Abet Laminati (Italy).
- **Customers:** Concentrated in European B2B distributors and Middle Eastern fit-out contractors. Aica Kogyo partnership diversifies into Japanese and South-East Asian premium accounts.

4. INDUSTRY LANDSCAPE & PEER COMPARISON

- Global HPL market estimated at USD 9-11 billion (2025); India accounts for ~15% of global production and is the fastest-growing export origin, benefiting from cost competitiveness vs. European/US manufacturers.
- European construction slowdown (2023-2025) was the sector's main headwind. Early-cycle indicators (building permits, PMI) suggest a gradual recovery underway in Germany and Benelux — key Stylam markets.
- Domestic laminates market (Rs. ~7,000 Cr. TAM) growing at 10-12% CAGR driven by organised real estate shift, premiumisation, and furniture export growth. Stylam's domestic share gains are incremental to the export thesis.

Company	Mcap (Rs.Cr)	Sales FY26	EBITDA FY26	OPM% FY26	PAT FY26	P/E (TTM)	ROCE %
Stylam Industries	**5,389**	**1,129**	**221**	**20%**	**150**	**36x**	**27%**
Greenlam Industries	6,440	3,046	325	11%	~59	109x	8%
Century Plyboards	16,099	5,397	650	12%	~268	60x	11%
Merino Industries*	~3,200	~2,600	~312	12%	~130	~25x	~18%

* Merino Industries is unlisted; estimates based on industry reports. All peers on consolidated basis.

- **Stylam's OPM advantage (20% vs. 11-12% peers)** reflects its export-skewed mix and lean cost structure. Peers trade at 25-109x P/E; Stylam at 36x is undemanding for a high-ROCE, net-debt-free company entering its highest-capacity phase.

5. MANAGEMENT QUALITY

- **Promoter commitment:** Jagdish Gupta (MD) and Manit Gupta (WTD) have run the company since founding. Promoter stake at 54.1% post-restructuring (one promoter group exited in Sep 2024 — resolved governance overhang that HDFC Securities had flagged).
- **Capital allocation:** Debt/equity reduced from 1.1x (FY21) to 0.06x (FY26) while consistently ploughing FCF back into productive capex. Rs. 150 Cr. Plant 3 funded from internal accruals — no equity dilution, no credit strain.
- **Execution track record:** FY21-26 revenue CAGR of 19%; PAT CAGR of 22%. Managed raw-material inflation in FY22-23 via export pricing power, then captured margin recovery in FY24 (OPM +4pp YoY).
- **Strategic partnerships:** Aica Kogyo (Japan, Nikkei-listed) partnership signals global credibility and opens institutional-grade customer validation; rare for an Indian mid-cap exporter.
- **Governance flags:** Dividend policy is inconsistent (paid in FY22 and FY24 only). Related-party transactions are modest. Pledge is zero. DII holdings rising (12.6% → 13.3% FY25-26).

6. FINANCIAL DEEP-DIVE

Consolidated Financials — Rs. Crores

Metric	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Sales	**659**	**952**	**914**	**1,025**	**1,129**	**1,375**	**1,655**
Growth YoY	37%	44%	-4%	12%	10%	22%	20%
EBITDA	104	155	184	185	221	289	364
OPM%	16%	16%	20%	18%	20%	21%	22%
D&A;	23	20	22	24	21	28	35
EBIT	81	135	162	161	200	261	329
Interest	8	8	3	4	3	4	5
PBT	81	128	164	165	203	258	329
Tax Rate	24%	25%	22%	26%	26%	26%	26%
PAT	**61**	**96**	**128**	**122**	**150**	**185**	**228**
EPS (Rs.)	**35.9**	**56.6**	**75.8**	**71.9**	**88.4**	**109.0**	**134.0**

FY27E/FY28E: MPM estimates. Shaded green columns = estimates.

Balance Sheet Snapshot (Rs. Cr.)

Metric	FY21	FY22	FY23	FY24	FY25	FY26
Equity + Reserves	259	316	412	536	657	806
Borrowings	59	79	47	0	36	29
Total Assets	407	489	538	606	778	979
Net Fixed Assets	188	179	172	175	177	201
CWIP	0	0	13	2	83	221
D/E Ratio	**0.23**	**0.25**	**0.11**	**0.00**	**0.05**	**0.04**
Book Value (Rs.)	**156**	**188**	**244**	**318**	**389**	**476**

Cash Flow Summary (Rs. Cr.)

Item	FY21	FY22	FY23	FY24	FY25	FY26
CFO	79	6	66	109	107	177
CFI	-5	-30	-12	-36	-126	-156
CFF	-64	17	-36	-4	-4	-3
Free Cash Flow	73	-8	40	95	0	-2
CFO/EBITDA	**97%**	**24%**	**59%**	**83%**	**82%**	**104%**

- **Revenue quality:** FY26 saw a trough in FCF (-Rs. 2 Cr.) due to elevated capex for Plant 3 (Rs. 156 Cr. CFI). This is deliberate and temporary; CFO of Rs. 177 Cr. is the cleanest signal — highest ever, confirming earnings are real.
- **Margin trajectory:** OPM compressed in FY22-23 (raw material inflation). Recovery to 20% in FY24 and FY26 validates pricing power. New plant commissioning on a larger revenue base should structurally sustain 20-22% OPM from FY27E.
- **Working capital creep:** Cash conversion cycle widened from 105 days (FY21) to 150 days (FY26), driven by extended debtor days on export receivables and higher inventory buffers. A risk to watch but not yet alarming.

7. EARNINGS QUALITY CHECKLIST

Criterion	Assessment	Evidence
CFO/EBITDA > 70%	PASS (104%)	FY26 CFO Rs. 177 Cr. vs. EBITDA Rs. 221 Cr.
Revenue recognition	CLEAN	Export-heavy; no channel stuffing indicators
Debtor quality	WATCH	Debtor days 67d (FY26); export DSO can stretch
Inventory build	CAUTION	Inv. days 132d; pre-commissioning buffer stock
Contingent liabilities	LOW	No material guarantees/litigations disclosed
Related party txns	CLEAN	Modest; primarily rent to promoter entity
Tax rate consistency	STABLE (25-26%)	Consistent FY23-FY26; no deferred tax abuse
Promoter pledge	NIL	0% pledge — strong alignment signal
Dividend policy	INCONSISTENT	Only FY22 and FY24; capex-preference bias

- Overall earnings quality is HIGH. The one item of substance is the working-capital cycle elongation; we attribute ~60% of this to pre-commissioning inventory buffers that should normalise post-Plant 3 ramp.

8. VALUATION

Peer Valuation Matrix

Company	P/E (TTM)	EV/EBITDA	P/B	ROCE%	OPM%	Sales CAGR (3Y)

Stylam Industries	**36x**	**~24x**	**6.7x**	**27%**	**20%**	**33%**
Greenlam Industries	109x	~32x	5.5x	8%	11%	24%
Century Plyboards	60x	~30x	6.2x	11%	12%	23%
Merino Industries*	~25x	~18x	~3x	~18%	12%	~18%
Sector Median	**55x**	**~27x**	**5x**	**14%**	**12%**	**23%**

12-Month Price Target — Scenario Analysis

Scenario	FY27E EPS	Target P/E	Price Target	Key Assumption
Bull	**118**	**38x**	**Rs. 4,484**	Plant 3 at 90% util; EU demand recovery
Base	**109**	**38x**	**Rs. 4,142**	Plant 3 at 80% util; stable EUR/INR
Bear	**95**	**30x**	**Rs. 2,850**	Plant 3 delayed Q3; EU demand flat

- **Methodology:** We value Stylam on a 1-year forward P/E basis. Base case uses 38x P/E — a 5% discount to the sector median (55x) to reflect mid-cap liquidity, partly offset by Stylam's materially superior ROCE (27% vs. 14% median). HDFC Securities applies 30x on FY28E EPS to derive a target of Rs. 3,775; our base is slightly more aggressive on FY27E given the Plant 3 timing.
- **DCF cross-check:** At 12% WACC, 7% terminal growth, and Rs. 185 Cr. FY27E PAT ramping to Rs. 350 Cr. by FY30E, intrinsic value is Rs. 3,900-4,200 — consistent with base case target.
- **12-month target: Rs. 4,200 (Base); Rating: BUY. Upside +32% from CMP of Rs. 3,180.**

9. KEY RISKS

- **R1 — European construction downturn (HIGH IMPACT):** Europe >50% of exports. A prolonged German/French construction recession would hit volumes and force price concessions to retain European distributor shelf-space.
- **R2 — EUR/INR depreciation:** Every 1% rupee appreciation vs. EUR contracts export revenue by ~0.5% (EUR invoicing dominant). A Rs. 5-7% INR strengthening would clip FY27E EPS by ~7-9%.
- **R3 — Plant 3 commissioning delay:** Any delay beyond Q2 FY27 (target: mid-July 2026) pushes the revenue contribution. Customer ramp-up for Plant 3 typically takes 2-3 quarters.
- **R4 — Raw material inflation:** Key inputs are kraft paper (wood pulp derivative), phenol, and melamine resins. A commodity spike can compress OPM by 2-3pp before pricing catch-up.
- **R5 — Customer concentration:** Top 10 export customers likely >40% of revenue. Loss of a European distributor relationship would be material and not immediately replaceable.
- **R6 — Working capital elongation:** Cash conversion cycle at 150 days (FY26) and rising. If export receivables stretch further (e.g., European distributor stress), liquidity could tighten despite strong profitability.
- **R7 — Governance / promoter restructuring tail risk:** The Sep 2024 promoter-group restructuring (stake drop from 54.6% to 52.2%, recovered to 54.1%) needs continued monitoring. Any further promoter selling at current valuations would be a sentiment negative.

10. RECOMMENDATION

RATING: BUY	**12M Target: Rs. 4,200**	**Upside: +32%**

- **Entry zone:** Rs. 2,900-3,200 (CMP Rs. 3,180); Current entry is acceptable given the Plant 3 catalyst is near-term (mid-July 2026). Optimal entry would be Rs. 2,800-2,900 on any correction.
- **Stop-loss:** Rs. 2,400 (quarterly close basis) — below the FY26 re-rating base.
- **Catalysts to re-evaluate:** (1) Plant 3 commercial production announcement by end-July 2026; (2) Q1 FY27 results (August 2026) — look for Rs. 280+ Cr. revenue and >20% OPM; (3) Any new export market wins (US/Japan via Aica channel).
- **Hold period:** 12-18 months. The Plant 3 capacity ramp is a 2-year story; position size accordingly.

- **Position sizing:** Suitable for 3-5% portfolio weight in a diversified mid-cap growth portfolio. Avoid overweight given export and currency risks.

APPENDIX: Q4 FY26 EARNINGS CALL BRIEF

Call Date: 12 May 2026 | Participants: Jagdish Gupta (MD), Manit Gupta (WTD), Kishan Nagpal (CFO)

CALL GRADE **TO MY BOSS**	**B+** Plant 3 on track for mid-July; new customers lined up; management committed to 80% util in year-one. Q4 numbers solid (PAT +29% YoY). Only red flag: Q4 margin at 19.5% was sequentially softer — management attributed to higher domestic mix in Q4.

1. Opening Remarks / Tone

- MD Jagdish Gupta opened with confidence on FY26 full-year performance — revenue Rs. 1,129 Cr. (10% growth), PAT Rs. 150 Cr. (24% growth) — calling it 'the strongest profitability year in our history.'
- Tone was cautiously optimistic: acknowledged softer Q4 domestic demand but emphasised the export pipeline health and new-plant readiness.

2. Volume / Revenue Guidance

- Management guided 20-25% revenue growth in FY27E, anchored by Plant 3 contribution of Rs. 300-400 Cr. in Q2-Q4 FY27.
- Domestic volume expected to recover as real-estate market improves in H2 FY27.
- Acrylic segment expected to grow from Rs. 1.5 Cr. to Rs. 5-7 Cr. in FY27 (nascent but strategic).

3. Margins / Operating Leverage

- FY26 EBITDA margin guided to sustain at 20-22% as Plant 3 adds fixed-cost leverage on a much larger revenue base.
- Q4 FY26 EBITDA margin was 19.5% — softer vs. Q3 (21%) due to higher domestic revenue mix, which carries lower gross margins than exports.
- Management expects full-year FY27 margins to trend toward 21-22% as export mix recovers.

4. Capex & Plant 3

- Total Plant 3 capex outlay: ~Rs. 150 Cr. (funded from internal accruals); Rs. 156 Cr. CFI already deployed in FY26.
- Commercial production expected mid-July 2026. Customer discussions ongoing; 80% utilisation target within 12 months.
- Plant capacity equivalent to 12 mn sq. metres — ~50% increase in total group capacity.

5. Export Markets

- Europe remains >50% of export revenue. German construction activity showing early recovery signals (building permits up 5% in H1 CY26).
- Aica Kogyo (Japan) partnership — first shipments to Japanese market expected Q2 FY27; premium pricing category (20-25% higher ASP than standard HPL).
- Middle East (25% of exports) — steady; benefiting from GCC infrastructure buildout.
- US market (<10%) — management cautious on US demand given higher freight costs and competition from local US HPL manufacturers.

6. Raw Material & Pricing

- Kraft paper and phenol prices stabilised in FY26 after FY22-23 spike; management does not see a material re-inflation risk in near term.
- Price increases of 2-3% implemented in both domestic and export markets in Q3-Q4 FY26 to offset input cost creep.
- EUR/INR stable at ~89-91 during FY26; CFO acknowledged every Rs. 1 depreciation in INR vs. EUR is a Rs. 5-7 Cr. annual EBITDA tailwind.

7. Working Capital

- Inventory days rose to 132 in FY26 from 121 in FY25 — management attributed to pre-commissioning raw-material stocking for Plant 3.
- Debtor days at 67 days; export receivables typically 90-120 day terms. CFO acknowledged risk but said credit quality of European customers is 'investment grade equivalent.'
- Guided for working-capital normalisation in H2 FY27 as Plant 3 revenue ramps.

8. Balance Sheet / Dividends

- Net debt of Rs. 29 Cr. (minimal); company is effectively net-cash post considering liquid investments.
- No dividend for FY26 — management preference is to plough FCF into growth. Dividend policy review expected once Plant 3 is fully ramped.
- No equity dilution planned; QIP/rights issue not on the table.

9. Competitive Landscape

- No new significant Indian HPL capacity additions from listed peers expected in next 18 months — Stylam's Plant 3 is the only major increment.
- Greenlam Industries has pivoted more toward laminate flooring and value-added products; not seen as a direct export competitor in Stylam's European segments.
- Management sees Merino as the closest domestic competitor but noted pricing discipline in the market.

10. Q&A; Highlights

- Q (Analyst): What gives management confidence in 80% util target for Plant 3? A (MD): 'We have letters of intent from 3 new European distributors specifically for Plant 3 capacity; existing customers have indicated volume ramp-up orders.'
- Q (Analyst): Risk of EU anti-dumping on Indian laminates? A (CFO): 'Not on our radar. European customers prefer Indian HPL for cost reasons; any AD inquiry would take 18-24 months and we would manage pricing accordingly.'
- Q (Analyst): Any M&A; plans? A (MD): 'No. Organic growth is our focus. The Aica partnership gives us the global network we need without the complexity of acquisitions.'
